BranchOut Food, Inc. (NASDAQ: BOF) – Company Context

Compiled: June 21, 2026

This document is the qualitative research foundation for the BOF investment analysis. It captures the company's history, people, distinctive data points, the bear case, and the competitive landscape that inform the financial model assumptions and the investment thesis. All figures are from public SEC filings, company press releases, and third-party coverage; forward-looking management statements are flagged as such.

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1. Historical Background

Founding and concept. BranchOut Food was founded by Eric Healy and is built around a single idea: produce premium dried fruit and vegetable snacks at a structurally lower cost than U.S. competitors by manufacturing in Peru with EnWave Corporation's Radiant Energy Vacuum ("REV") dehydration technology, branded **GentleDry™**. REV sits between conventional hot-air drying (cheap but degrades color/nutrition/texture) and freeze-drying (premium quality but expensive), aiming to capture freeze-dried quality at a fraction of the cost. The company licenses REV from EnWave (TSX-V: ENW) with exclusivity in Peru and for certain product categories.

IPO and listing. BranchOut completed a 1-for-2.5 reverse stock split and listed on the Nasdaq Capital Market in **June 2023**, raising ~$7.1M in a firm-commitment IPO of ~1.19M shares at **$6.00/share**. The company entered public markets pre-profitability and sub-$3M in annual revenue, dependent on continued capital access — a profile that has defined its equity story since.

Vertical integration in Peru (2024) — the strategic pivot. After earlier reliance on third-party contract manufacturing, BranchOut secured a long-term lease on a **50,000 sq ft facility in Peru in May 2024** and brought it online in **December 2024**. Owning production was the company's most important strategic move: it eliminated contract-manufacturer disputes, lowered COGS, and is the foundation of the gross-margin expansion the entire investment case depends on.

Milestones timeline:

Date	Milestone
Nov 2017	Eric Healy appointed CEO; company founded
Jun 2023	Nasdaq IPO at $6.00/share (~$7.1M raised); 1-for-2.5 reverse split

Date	Milestone
Jun 2023	First major Walmart supply deal (~2,250 stores)
May 2024	Secured Peru facility; announced $40M capacity target and 40–50% GM goal
Jun 2024	$1.4M follow-on offering at $0.80/share
Jul 2024	Kaufman Kapital convertible note (up to $3.4M) — start of Kaufman backing
Dec 2024	Peru facility operational
Mar 2025	MicroDried ingredient-channel partnership signed ($5–6M/yr projected)
2025 (FY)	Record ~$13.7M revenue (+113% YoY); Costco expands to 5 regions
Nov 2025	$2.5M institutional placement (Bard Associates); ~$20M annualized run-rate cited
Jan 2026	FY2025 results; Sam's Club win disclosed; Walmart 9-SKU program announced
Mar 2026	4th REV line online (dairy/allergen-controlled); record ~46,000 kg/month output
May 2026	Sam's Club nationwide rollout (~600 locations)
Jun 2026	Five-SKU launch at a leading mass retailer (Target-implied), ~2,000 stores in Sep 2026

Stock price history. From the $6.00 IPO (June 2023), BOF de-rated sharply during its cash-strapped 2024 (the June 2024 follow-on priced at just $0.80, and the stock traded near ~$1.65 by December 2024) as dilution and going-concern concerns mounted. Through 2025–2026 the shares re-rated on commercial traction (Costco, Sam's Club, Target), reaching **$4.28 (June 2026)** within a 52-week range of **$1.53–$4.95**. The chart is, in effect, a referendum on whether the Peru scale-up is working.

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2. Management Background

Eric Healy — Founder & Chief Executive Officer. Healy has led BranchOut since founding and is the largest individual insider (~1.3M shares, historically ~20% before dilution). His background is unusual for a CPG founder: he previously founded the No-Bake Cookie Company (a prior consumer-food venture) and worked as a senior mechanical engineer at Stratos Genomics (nanopore DNA sequencing); he holds a B.S. from Oregon State University. The engineering orientation fits a company whose central challenge is a manufacturing-process scale-up, but Healy has **no prior large-CPG exit or experience scaling a branded food business to national distribution** — a gap analysts have repeatedly flagged.

John Dalfonsi — Chief Financial Officer. Dalfonsi brings 25+ years of investment-banking experience, including IPOs and M&A. He is the architect of BranchOut's capital-markets strategy — the shelf registrations, ATM facilities, and the Kaufman financing structure that have kept the company funded. His banking background is well-suited to a company that must continually access capital, and it is consistent with a future strategic-sale exit pathway.

Joshua O'Brien — Chief Commercialization Officer. Leads commercial and sales strategy and manages the key warehouse-club and mass-retail relationships (Costco, Sam's Club, Walmart, Target) that drive the revenue story.

Myriam Canaval Hernández — Head of Human Resources (Peru). Manages the local Peruvian workforce — a non-trivial role given that the cost moat rests on the Peru labor base and uninterrupted plant operation.

Kaufman Capital Partners / Deven Jain — Major Investor & Board. Kaufman Capital is BranchOut's primary financial backer, holding a **~34.5% fully-diluted stake** (per Schedule 13D/A) plus a $2.9M convertible note (conversion $0.7582) and a $1.5M senior secured note maturing January 2027. Deven Jain represents Kaufman on the board. Kaufman is simultaneously the company's lifeline and its single largest concentration risk.

Market perception. The team is lean and early-stage. The recurring analyst critique is a **lack of public-company and large-scale CPG operating experience**, set against a CEO/founder who is clearly execution-focused on the Peru buildout. Insider alignment is a positive — Healy's meaningful ownership and Kaufman's large stake both argue for minimizing dilution where possible — but governance is concentrated and the bench is thin.

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3. Interesting / Unique Statistics

Growth and scale - Revenue compounded from **$0.72M (FY2021) to ~$13.7M (FY2025)** — roughly a 110%+ five-year CAGR off a tiny base; FY2025 grew **+113% YoY**. - The Peru plant is described as the **largest REV installation in Latin America** (four large-scale REV lines: 60kW, two ~120kW, 100kW, plus ~10 smaller units). - Record monthly output of **~46,000 kg (March–April 2026)** — a company all-time high; management identifies **~45 tons/month as the profitability threshold**, reached in spring 2026.

Technology and product - REV/GentleDry reportedly preserves **~95% of original nutrition, color, and flavor**, and the technology estate is protected by **17+ patents** (EnWave's plus BranchOut's). - BranchOut launched a **shelf-stable "dehydrated cheesecake"** described as a first-of-its-kind product, alongside dairy-based "cheddar crunch" snacks (Sept 2026) — extensions into higher-margin dairy made possible by the 4th, allergen-controlled line. - Its **Cinnamon Churro**

Banana Chips were selected for U.S. Army Close Combat Assault Ration testing — an unusual validation data point.

Commercial proof points - Sam's Club nationwide launch ran at **~$600/store/week**, above the ~$400–600 "success" threshold, with management citing up to **$15M ARR** potential if it converts to an everyday item. - Costco relationship scaled from ~$1.1M (H2 2024) to ~$3M (H1 2025); management sizes near-term Costco opportunity at **$3–4M**.

Cost structure / moat - The cost edge rests on **Peruvian labor (~$1.50/hour analyst estimate)** and exclusive local sourcing of cosmetically-imperfect-but-internally-sound produce — for a dried product, only the interior matters, so input cost is structurally low (analyst estimate: raw material ≈ 80% of COGS). - Normalized gross margin (ex-air-freight and tariff) was **~25% in 2025**, and the company printed **~27% in a record June 2025 month**; our analytical estimate for mature, at-scale gross margin is **~35%** (in line with best scaled branded-snack peers).

Capital markets (the other side of the ledger) - Shares grew from **~3M post-IPO (2023) to ~15.3M (mid-2026)** — roughly **+410% dilution** in three years via follow-ons, ATM sales, warrant exercises, and debt conversions. - The Kaufman convertible (at $0.7582 into a $4.28 stock) represents **~3.8M shares** of near-certain additional dilution.

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4. Short Theses (Past and Present)

No published short-seller reports identified as of June 2026. BranchOut is a sub-$70M-market-cap nano-cap with thin liquidity and limited institutional following, so it has not attracted a formal activist short report (Hindenburg/Muddy Waters-style). Short-interest data is not meaningfully disclosed/aggregated for a name this small. The bear case below is therefore drawn from going-concern disclosures, the company's own filings, and independent analyst/forum coverage (e.g., Cheap Securities, Investing Whisperer).

Core bear arguments:

1. **Going concern / liquidity cliff.** The Q1 2026 10-Q carries explicit "substantial doubt" language, an **accumulated deficit of $25.5M**, negative working capital, and **just ~$0.9M of cash against ~$2M/quarter of operating burn**. Survival depends on collecting ~$5M of receivables and continued Kaufman support — a thin margin for error.

2. **Chronic, severe dilution.** ~410% share growth since IPO, an active ATM, and an in-the-money convertible mean current holders are continually diluted. Even in good operating outcomes, the share count rises meaningfully; in bad ones, low-price issuance can be devastating.

3. **Guidance-credibility deficit.** Management has **missed essentially every major revenue and cash-flow target since 2023** (e.g., the $15M run-rate / positive-cash-flow-by-Q1-2025 guidance was not achieved). Forward statements warrant heavy discounting.
4. **Customer concentration.** As of 2024, **~99% of revenue came from two retailers** (Walmart and Costco). Diversification (Sam's Club, Target, ingredient, tolling) is underway but unproven; the loss of a single club SKU would be material.
5. **Single-counterparty dependence (Kaufman).** A 34.5%-FD backer holding ~$4.4M of debt maturing January 2027 is both lifeline and risk; any change in Kaufman's posture removes the safety net.
6. **Single-plant, single-country operational dependence.** The entire thesis rests on one facility in Peru executing a throughput-and-margin ramp that is not yet proven at scale; any plant disruption, technology/yield shortfall, or supply-chain interruption is existential.
7. **Technology and pricing constraints.** The EnWave license carries minimum royalties (~$250–300K/year before volume royalties), and premium price points (~$6/pouch retail) may cap the addressable mass market.

Company response / mitigants. The bull rebuttal is that the commercial wins (Costco multi-region, Sam's nationwide, Target) are real and verifiable, that demand is not the binding constraint (throughput is), that vertical integration and the removal of temporary air-freight/tariff drags should lift margins, and that the Peru cost base is a genuine, hard-to-replicate moat. The investment debate is thus less about whether there is a business and more about whether it can scale operationally before the balance sheet forces a bad outcome.

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5. Major Competitors

BranchOut competes in the **better-for-you (BFY) dried fruit & vegetable snack** category. Competition spans (a) direct dried/baked fruit-and-veg snack brands, (b) freeze-dried snack producers, and (c) traditional dried-fruit incumbents — plus a critical *supplier* dependency on EnWave.

Direct Competitors

Bare Snacks (owned by PepsiCo / Frito-Lay) — *the closest analog.* Baked (not fried) apple, banana, coconut, and veggie chips; the category leader PepsiCo acquired in 2018. - *Advantages vs. BOF:* PepsiCo's national DSD distribution, brand recognition, marketing budget, and scale; no financing risk. - *Disadvantages vs. BOF:* U.S./higher-cost manufacturing (PepsiCo does not replicate BOF's Peru cost curve); a baking process rather than REV; as a small line inside a giant, it receives limited strategic focus. Bare is also the single best evidence that a strategic *wants* this category — making it the template for BOF's acquisition exit.

Solely — organic whole-fruit "fruit jerky" and dried banana/mango/pineapple snacks. - *Advantages vs. BOF:* Strong organic positioning, broad natural/grocery retail presence, clean single-ingredient branding. - *Disadvantages vs. BOF:* No proprietary low-cost production process or captive low-cost produce base; contract-manufactured and exposed to input-cost swings.

Rind Snacks — "skin-on" upcycled dried fruit snacks; VC-backed, sustainability-led. - *Advantages vs. BOF:* Differentiated upcycling narrative, sharp DTC/marketing, urban brand cachet. - *Disadvantages vs. BOF:* Smaller, contract-manufactured, no manufacturing cost moat; more marketing story than production edge.

Crispy Green (Crispy Fruit) / Nature's All Foods / Brothers-All-Natural — established **freeze-dried** fruit snack brands. - *Advantages vs. BOF:* Long-standing retail relationships, recognized freeze-dried quality, broad SKU ranges. - *Disadvantages vs. BOF:* **Freeze-drying is materially more expensive than REV**, structurally capping their margin/price competitiveness versus a low-cost REV producer; less suited to the bulk/ingredient and private-label channels BOF targets.

Indirect Competitors

- **Sun-Maid, Sunsweet, Made in Nature, That's It** — traditional/whole dried-fruit incumbents (raisins, prunes, fruit bars). Large and entrenched, but compete on a different (often higher-sugar, commodity) product and do not offer BOF's crunchy-chip texture or veggie range.
- **Broader BFY salty-snack brands** (SkinnyPop, Hippeas, Quinn, LesserEvil, etc.) — compete for the same "permissible snacking" shelf space and consumer dollar, though not in dried fruit/veg specifically.
- **Private-label / store brands** — for BOF's private-label and ingredient channels, the competition is other contract manufacturers; here BOF's Peru cost base is the differentiator, but margins are inherently thinner than branded.

Key Supplier Dependency (not a competitor, but structural)

EnWave Corporation (TSX-V: ENW) — licenses the REV/GentleDry technology to BranchOut. BOF holds Peru and category exclusivity but pays minimum royalties (~$250–300K/year) plus volume royalties. EnWave licenses REV to other companies in other geographies/categories, so the *technology itself* is not unique to BOF — which is precisely why BranchOut's defensibility rests on **location, cost, exclusivity, and execution**, not the machine.

Competitive Moat Assessment

BranchOut's moat is **an execution-and-cost moat, not a patent moat.** Its defensibility is the *combination* of (1) a Peru cost base — cheap labor and exclusive access to imperfect-but-sound produce — that U.S./European producers structurally cannot match; (2) the multi-year R&D needed to perfect REV process and product per SKU; (3) hard-won warehouse-club relationships; and (4) EnWave exclusivity in Peru. We estimate this amounts to roughly a **4-year head start** for any new entrant. The vulnerability is that none of these is a legal monopoly — a well-capitalized competitor (including PepsiCo/Bare) could in principle replicate the model — so the moat must be continually *earned* by running the Peru plant at scale and locking in club relationships before rivals move. That is the same operational-execution question on which the entire investment thesis turns.

Research compiled June 2026. Information is based on publicly available sources and may contain inaccuracies. Investors should verify all data independently.